AGA KHAN UNIVERSITY EXAMINATION BOARD

SECONDARY SCHOOL CERTIFICATE

CLASS IX

ANNUAL EXAMINATIONS 2021

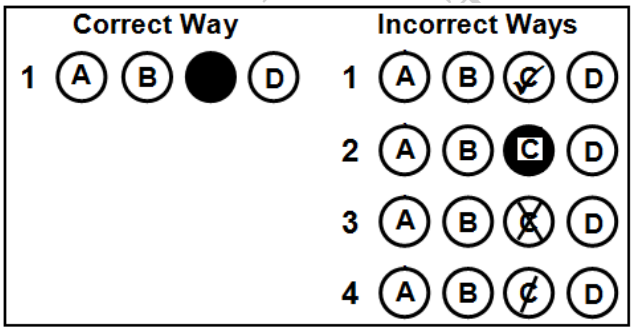
Principles of Accounting

Time: 1 hour 40 minutes Marks: 50

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INSTRUCTIONS

1. Read each question carefully.
2. Answer the questions on the separate answer sheet provided. DO NOT write your answers on the question paper.
3. There are 100 answer numbers on the answer sheet. Use answer numbers 1 to 50 only.
4. In each question, there are four choices A, B, C, D. Choose ONE. On the answer grid, black out the circle for your choice with a pencil as shown below.



Candidate's Signature

5. If you want to change your answer, ERASE the first answer completely with a rubber, before blacking out a new circle.
6. DO NOT write anything in the answer grid. The computer only records what is in the circles.
7. The marks obtained on the 50 MCQs will be equated to the total marks of 75 for the theory examination results.
8. You may use a simple calculator if you wish.
9. Wherever new terminologies are mentioned their old terminologies are mentioned in the brackets for your assistance.

1. Hareem Traders prepares accounting records on the basis of double entry system. The accountant recorded a transaction as bank debit and cash credit.

   The given transaction would have resulted because of the

   A. cash deposited into the bank.
   B. cash found short in the bank.
   C. cash withdrawals from the bank for business use.
   D. cash withdrawals from the bank for personal use.

2. Following details have been extracted from the books of Aliza Traders as on December 31, 2017.

Account Title	Amount (Rs)
Equipment	700,000
Motor vehicle	400,000
Bank balance (debit balance)	25,000
Trade payables (accounts payable)	144,000
Trade receivables (accounts receivable)	115,000
Inventory	65,000
Loan from family members	13,000

   The amount of owner's equity from the given information will be

   A. Rs 1,098,000
   B. Rs 1,148,000
   C. Rs 1,161,000
   D. Rs 1,305,000

3. Muneer Traders bought a new machine costing Rs 800,000 on cash.

   The account head(s) that will be affected from the given transaction is/ are

   A. asset and expense.
   B. asset and liability.
   C. assets only.
   D. liabilities only.

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4. Alpha Enterprises made the following purchases:

   - Goods bought of Rs 11,500 on March 8, 2020
   - Goods bought of Rs 19,500 on March 28, 2020

   The business paid the amount due on first purchases on March 20, 2020 and the remaining amount will be paid on April 10, 2020.

   If the business records the purchases at Rs 31,000, then the accounting concept used in the given situation is known as

   A. accrual concept.
   B. going concern concept.
   C. historical cost concept.
   D. prudence concept.

5. The advance received from a customer will be treated by a business as it's

   A. asset.
   B. capital.
   C. income.
   D. liability.

6. All of the following are the BASIC functions of financial accounting EXCEPT

   A. analysing the financial performance of the business.
   B. making decisions about merging and opening new branches.
   C. making the general journal entries of the business transactions.
   D. posting the transactions to the ledger accounts.

7. The nature of sales returns account is of a

   A. contra asset account.
   B. contra capital account.
   C. contra expense account.
   D. contra revenue account.

8. A business manufactures towels. The business closes its books on March 31, each year.

   With reference to the type of accounting period, the period which is used by the business is termed as the

   A. calendar year.
   B. fiscal year.
   C. natural year.
   D. tax year.

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9. During the month, a retailer buys 40 web cameras at a cost of Rs 1,000 each. He/ she sold 35 web cameras for Rs 1,250 each.

   As per accounting equation, the net increase in capital due to the given situation would be

   A. Rs 6,250
   B. Rs 8,750
   C. Rs 40,000
   D. Rs 43,750

10. Assets and liabilities both will increase because of the

   A. drawings by the owner.
   B. payment to the suppliers.
   C. purchase of furniture on credit.
   D. purchase of goods on cash.

11. Bushra understands that her business will do better if she hires new and highly skilled staff.

   The accounting principle that prevents her from recording the skills of the staff in her balance sheet is known as the

   A. accounting entity.
   B. accounting period.
   C. going concern.
   D. money measurement.

12. Following income statement has been taken from the records of Aiman Traders for the year ended December 31, 2019.

Sales revenue	****	
Cost of sales (cost of goods sold)	(****)	
Other income	****	
Gross profit		****
Operating expenses		(****)
Net profit		****

   As per the format of the income statement, the item that has been WRONGLY placed is the

   A. cost of sales.
   B. net profit.
   C. operating expense.
   D. other income.

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13. Anamta Associates sold goods of Rs 128,000. Out of this amount, Rs 28,000 was received in cash and the balance will be received after 25 days.

If Anamta Associates keeps its records on a double entry basis, then the general entry made by the business at the time of sales would be

	Particulars	P.R.	Debit	Credit
A	Cash		28,000	
	Sales		100,000	
	Trade receivables (accounts receivable)			128,000
B	Trade receivables (accounts receivable)		128,000	
	Sales			100,000
	Cash			28,000
C	Cash		28,000	
	Trade receivables (accounts receivable)		100,000	
	Sales			128,000
D	Sales		128,000	
	Cash			28,000
	Trade receivables (accounts receivable)			100,000

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14. Which of the following CORRECTLY depicts the rules of debit and credit?

	Asset is Debited	Liability is Credited
A	Decrease	Increase
B	Decrease	Decrease
C	Increase	Increase
D	Increase	Decrease

15. Following details have been taken from the books of Absar Enterprises as on March 31, 2020.

Account Title	Amount (Rs)
Cash at bank	186,500
Sales revenue	368,000
Cost of sales (cost of goods sold)	285,000
Trade receivables (accounts receivable)	65,400
Trade payables (accounts payable)	48,300
Other expenses	12,000
Other incomes	30,000
Other liabilities	7,600
Capital	95,000

The trial balance would be balanced by

A. Rs 1,097,800
B. Rs 101,000
C. Rs 292,800
D. Rs 548,900

16. Following trade payables (accounts payable) account has been taken from the books of Naushad, a sole trader, as on December 31, 2019.

Trade Payables (Accounts Payable)					
Date	**Particulars**	**Amount (Rs)**	**Date**	**Particulars**	**Amount (Rs)**
Dec 31, 19	Cash paid	160,000	Jan 01, 19	Balance b/d	280,000
			Dec 31, 19	Purchases	235,000
		515,000			515,000

The net amount of trade payables (accounts payable) as on December 31, 2019 is

A. Rs 280,000
B. Rs 355,000
C. Rs 515,000
D. Rs 675,000

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17. Following information has been taken from the books of Duaa Enterprises.

Account Title	Amount (Rs)
Sales revenue	220,000
Purchases	130,000
Opening inventory	10,000
Ending inventory	12,000

The amount of gross profit from the given information will be

A. Rs 128,000
B. Rs 132,000
C. Rs 90,000
D. Rs 92,000

18. The owner of the business for his personal use withdrew goods of Rs 2,400 from the business.

The general entry for the given withdrawal would be

	Particulars	P.R.	Debit	Credit
A	Drawings		2,400	
	Purchases			2,400
B	Purchases		2,400	
	Drawings			2,400
C	Drawings		2,400	
	Capital			2,400
D	Capital		2,400	
	Drawings			2,400

19. The BASIC objective of a general journal is to

A. ascertain the profit and loss of the business.
B. check the arithmetical accuracy of the accounting record.
C. keep a systematic record of financial transactions.
D. maintain balance of all accounting heads.

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20. The balancing amount of trade receivables (accounts receivable) can be calculated as the

A. sum of all the values on the credit side of the account.
B. sum of all the values on the debit side of the account.
C. sum of the credit side minus sum of the debit side.
D. sum of the debit side minus sum of the credit side.

21. Following cash ledger appeared in the books of a business for the month of March, 2020.

Cash Ledger					
Date	**Account Title**	**P.R.**	**Debit (Rs)**	**Credit (Rs)**	**Balance (Rs)**
March 01	Balance				10,000 Dr
March 01	Sales		19,000		
March 5	Bank			9,000	
March 10	Purchases			11,000	
March 15	Utility bills			7,600	
March 30	Interest		4,000		

The cash balance that will appear on the cash ledger on March 31, 2020 would be

A. Rs 4,600 Credit.
B. Rs 4,600 Debit.
C. Rs 5,400 Credit.
D. Rs 5,400 Debit.

22. Following details have been taken from the book of a business.

Account Title	January 01, 2020	December 31, 2020
Current assets	Rs 75,000	Rs 80,000
Non-current assets (fixed assets)	Rs 230,000	Rs 280,000
Total liabilities	Rs 70,000	Rs 70,000

The amount of opening and ending capital of the business would be

	Opening Capital	Ending Capital
A	Rs 235,000	Rs 290,000
B	Rs 375,000	Rs 430,000
C	Rs 85,000	Rs 130,000
D	Rs 225,000	Rs 270,000

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23. A business purchased office furniture on cash for Rs 20,000.

Which of the following statements will show the impact of the given transaction?

A. Bank reconciliation statement
B. Income statement
C. Statement of changes in equity
D. Statement of financial position (balance sheet)

24. Following details are related to the cash ledger of a sole trader business.

Account Title	Amount (Rs)
Opening balance as on January 01, 2020	45,000
Ending balance as on January 31, 2020	80,000
Cash collected from customers	210,000
Cash paid to suppliers	185,000

From the given details, the amount of cash sales would be

A. Rs 10,000
B. Rs 40,000
C. Rs 80,000
D. Rs 130,000

25. Anisa Associates bought goods of Rs 9,000 on credit from Kiran Traders.

The given transaction will affect the asset and revenue of Kiran Traders as

	Effect on Asset	Effect on Revenue
A	increase	increase
B	increase	decrease
C	decrease	increase
D	decrease	decrease

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26. Following is the bank ledger of Shams Corporation.

Bank					
Date	**Account Title**	**P.R.**	**Debit (Rs)**	**Credit (Rs)**	**Balance (Rs)**
June 01, 2018	Opening balance				150,000 Debit
June 03, 2018	Rent			25,000	
June 05, 2018	Sales		45,000		
June 07, 2018	Repairs			10,000	
June 12, 2018	Sales		35,000		

The running balance of the bank ledger on June 12, 2018 will be

A. Rs 35,000
B. Rs 80,000
C. Rs 115,000
D. Rs 195,000

27. The owner of Hammad Sons paid an outstanding amount of Rs 20,000 through cheque to Bashir Traders.

The given transaction will result in a/ an

A. decrease in asset and decrease in liability.
B. decrease in asset and increase in liability.
C. increase in asset and decrease in liability.
D. increase in asset and increase in liability.

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28. Following ledger account has been taken from the books of Atia Traders.

Cash Ledger					
Date	**Particulars**	**Amount (Rs)**	**Date**	**Particulars**	**Amount (Rs)**
January 1	Balance b/d	1,200	January 10	Purchases	1,700
January 5	Sales	3,000	January 15	Wages	1,000
January 20	Sales	2,400	January 25	Utility bills	700

For the given ledger, the amount of footing and balancing on 31st January would be

	Footing Amount		**Balancing Amount**
	Debit	**Credit**	
A	Rs 6,600	Rs 3,400	Rs 3,200 debit
B	Rs 3,400	Rs 6,600	Rs 3,200 debit
C	Rs 6,600	Rs 3,400	Rs 3,200 credit
D	Rs 3,400	Rs 6,600	Rs 3,200 credit

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29. Ansar Enterprises received a cheque of Rs 13,000 against a full and final settlement of Rs 13,200 from Sami.

The given transaction will be recorded in the general journal of Ansar Enterprises as

	Particulars	P.R.	Debit	Credit
A	Cash		13,200	
	Trade receivable (account receivable) - Sami			13,200
B	Trade receivable (account receivable) - Sami		13,200	
	Cash			13,200
C	Trade receivable (account receivable) - Sami		13,200	
	Cash			13,000
	Discount allowed			200
D	Cash		13,000	
	Discount allowed		200	
	Trade receivable (account receivable) - Sami			13,200

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30. The accounting equation is also known as the

A. balance sheet equation.
B. gross profit equation.
C. net profit equation.
D. trial balance equation.

31. Bilal has agreed to collect Rs 12,000 as interest each year against the money lent to his neighbour which amounted to Rs 120,000 on January 01, 2020 for 3 years.

The general entry in the books of Bilal on December 31, 2020 for the receipt of interest would be

	Particulars	P.R.	Debit	Credit
A	Interest expense		12,000	
	Cash			12,000
B	Cash		12,000	
	Interest expense			12,000
C	Interest income		12,000	
	Cash			12,000
D	Cash		12,000	
	Interest income			12,000

32. The Omega Company has purchased machinery with a list price of Rs 225,000 and incurred the following expenditures:

Account Title	Amount (Rs)
Foundation and installation charges	75,000
Labour charges for loading and unloading	5,300
Fare or transportation charges	35,000
Insurance in transit	20,500
Fire insurance premium for 3 years	150,000

Which of the given expenditures will NOT be included in the depreciable cost of the machine?

A. Fare or transportation charges
B. Fire insurance premium for 3 years
C. Foundation and installation charges
D. Labour charges for loading and unloading

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33. Following details related to the non-current assets of Tasneem Enterprises on April 01, 2020 are as under:

Asset	Cost Amount (Rs)	Accumulated Depreciation Amount (Rs)	Book Value Amount (Rs)	Method of Depreciation
Furniture	700,000	200,000	500,000	Straight line

If the rate of depreciation to be charged on the furniture is 10% per annum, then the book value of the furniture as on March 31, 2021 would be

A. Rs 70,000
B. Rs 270,000
C. Rs 430,000
D. Rs 570,000

34. Following are the details related to trade receivables (accounts receivable) of Shahmeer Enterprises.

Account Head	Amount (Rs)
Trade receivables (accounts receivable) January 01, 2019	248,000
Trade receivables (accounts receivable) December 31, 2019	365,000
Allowance (provision) for doubtful debts (bad debts) January 01, 2019	6,200

It is the policy of Shahmeer Enterprises to charge allowance (provision) for doubtful debts (bad debts) at 2.5% on trade receivables (accounts receivable) balance.

The accounting concept that binds Shahmeer Enterprises to record allowance (provision) for doubtful debts (bad debts) is the

A. business entity concept.
B. cost concept.
C. materiality concept.
D. prudence concept.

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35. The following machinery account has been taken from the books of Sohina Traders.

Machinery Account			
Balance b/f	Rs 900,000	Purchased on cash	Rs 800,000
		Disposed off	Rs 600,000
		Balance c/f	Rs 500,000

The item that has been posted on the WRONG SIDE by Sohina Traders is

A. balance b/f.
B. balance c/f.
C. disposed off.
D. purchased on cash.

36. The following details related to trade receivables (accounts receivable) have been taken from the books of Ameen Tiles on December 31, 2018.

Account Title	Amount (Rs)
Trade receivables (accounts receivable)	245,000
Allowance (provision) for doubtful debts (bad debts)	6,700

The business plans to increase the allowance (provision) for doubtful debts (bad debts) to Rs 9,300 at the end of the year 2019.

The amount of adjusted doubtful debts (bad debts) expense that will be recorded in the income statement and the statement of financial position (balance sheet) is

	Income Statement	Statement of Financial Position (Balance Sheet)
A	Rs 9,300	Rs 2,600
B	Rs 2,600	Rs 6,700
C	Rs 6,700	Rs 9,300
D	Rs 2,600	Rs 9,300

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37. The following information has been extracted from the books of Imperial Brothers at the end of the year.

- The total balance for trade receivables (accounts receivable) was Rs 20,000.
- Allowance (provision) for doubtful debts (bad debts) was Rs 4,500.

The net amount of trade receivables (accounts receivable) shown in the statement of financial statement (balance sheet) will be

A. Rs 4,500
B. Rs 15,500
C. Rs 20,000
D. Rs 24,500

38. At the time of the purchase of a machine, the expenditure that will be treated as revenue expenditure is the

A. foundation charges paid for the machine to the mason.
B. overtime paid to the worker using the machine.
C. professional fee paid for training the machine operator.
D. wages paid to the loader for the machine purchased.

39. Aniqa purchased a vehicle on January 01, 2018 for Rs 90,000. Motor vehicles are depreciated at 20% per annum.

The amount of depreciation charged for the year 2018 will be

A. Rs 9,000
B. Rs 14,400
C. Rs 18,000
D. Rs 72,000

40. Hashim purchased a machine on January 01, 2018 for Rs 130,000. It has an estimated life of 8 years with a salvage value of Rs 10,000. Depreciation is calculated using the straight line method.

The net book value of the machine at December 31, 2018 will be

A. Rs 113,750
B. Rs 115,000
C. Rs 117,000
D. Rs 120,000

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41. Tahir Sons received intimation from the court that Bilal, a customer, has been declared bankrupt and will pay 40% of his outstanding debt only. The outstanding amount from Bilal is Rs 60,000.

The general entry to record the bad debt written off would be

	Particulars	P.R.	Debit	Credit
A	Trade receivable (account receivable) - Bilal		36,000	
	Bad debt expense			36,000
B	Bad debt expense		36,000	
	Trade receivable (account receivable) - Bilal			36,000
C	Trade receivable (account receivable) - Bilal		24,000	
	Bad debt expense			24,000
D	Bad debt expense		24,000	
	Trade receivable (account receivable) - Bilal			24,000

42. Increase in allowance (provision) for doubtful debts (bad debts) expense is recorded as

	Account to be Debited	Account to be Credited
A	doubtful debts (bad debts) expense	trade receivables (accounts receivable)
B	allowance (provision) for doubtful debts (bad debts)	doubtful debts (bad debts) expense
C	trade receivables (accounts receivable)	allowance (provision) for doubtful debts (bad debts)
D	doubtful debts (bad debts) expense	allowance (provision) for doubtful debts (bad debts)

43. If equipment is bought on credit for resale purpose, then the equipment will be treated as a

A. capital.
B. current asset.
C. current liability.
D. non-current liability.

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44. The estimated recoverable value of the asset at the end of its useful life is known as the

A. allowance (provision) for depreciation.
B. depreciation expense.
C. net book value.
D. scrap value.

45. If the provision for doubtful debts (bad debts) increases, then all of the following would decrease EXCEPT for the

A. current assets.
B. gross profit.
C. net profit.
D. net value of trade receivables (accounts receivable).

46. A business sold a machine at a cost of Rs 900,000. The business gave a discount of 5% on the tagged price and allowed a further discount of 2% if the payment is made within 20 days.

If the buyer pays the amount on the 18th day of purchase, then the cost of the machine that will appear in the books of the buyer would be

A. Rs 837,000
B. Rs 837,900
C. Rs 855,000
D. Rs 882,000

47. Following are the details related to the acquisition of an asset by a business.

Account Title	Amount (Rs)
Invoice price of vehicle	800,000
Capital expenditure on purchase	80,000
Revenue expenditure on vehicle	20,000

The impact of the acquisition of the asset on the income statement and statement of financial position (balance sheet) will be an increase in

	Income Statement	Statement of Financial Position (Balance Sheet)
A	expense by Rs 20,000	asset by Rs 900,000
B	expense by Rs 100,000	asset by Rs 880,000
C	expense by Rs 20,000	asset by Rs 880,000
D	expense by Rs 100,000	asset by Rs 900,000

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48. A business paid documentation charges of Rs 20,000 on the purchase of a motor vehicle that is to be used in office.

The account heads that will be debited and credited to record the payment of the documentation charges would be

	Account to be Debited	**Account to be Credited**
A	documentation charges	cash
B	cash	documentation charges
C	motor vehicle	cash
D	cash	motor vehicle

49. The effect of recording depreciation on the income statement and statement of financial position (balance sheet) is that it will lead to a/ an

	Income statement	**Statement of Financial Position (Balance Sheet)**
A	increase in expense	increase in assets
B	decrease in expense	decrease in assets
C	increase in expense	decrease in assets
D	decrease in expense	increase in assets

50. The total amount of allowance (provision) for depreciation of an asset cannot exceed its

A. cost price.
B. annual depreciation.
C. market value.
D. scrap value.

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